

Momentum Trading Frameworks

Comparative study of Prime Trading, Julian Komar & Matt Caruso
+ Lance's personal framework (v1)

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Three Momentum Systems — Comparative Synthesis

Prime Trading (TradersLab) · Julian Komar · Matt Caruso

Research compiled 2026-06-16 via fan-out web research + adversarial verification. All  claims independently confirmed against primary sources (trader's own site / course / X / interview), ≥2 of 3 adversarial votes. Confidence key:  verified against primary source ·  established lineage / domain context.

0. The Shared DNA

All three sit in the same **US growth-leadership / trend-momentum** school. Common ancestors:

Ancestor	What each system inherits
O'Neil (CANSLIM)	Buy market-leading growth stocks with earnings/sales acceleration, near new highs, with volume confirmation; cut losses ~7–8%.
Minervini (SEPA + Trend Template)	Trade only Stage-2 uptrends; demand the trend template (price > 50 > 150 > 200 DMA, 200 rising, RS line at highs); buy volatility-contraction setups; risk-first sizing.
Weinstein (Stage Analysis)	The 4-stage cycle (1 basing → 2 advancing → 3 topping → 4 declining); only buy Stage 2, exit on Stage 3 / break of the 30-week MA.

Shared creed: **trade leaders only, in confirmed uptrends, with tightly defined risk, and let winners run**. The divergence is *how you get in* (breakout vs. contraction/pullback) and *how mechanical vs. discretionary* the rules are.

1. System-by-System

A) Prime Trading / TradersLab ("Alex") — *the pullback specialist*

Dimension	Detail	Conf.
Philosophy	Swing trading (days–weeks). Explicitly "No Breakouts" — edge comes from pullbacks to the 21-DMA structure , a deliberate divergence from breakout entries.	
Lineage	Self-derived from O'Neil CANSLIM + Minervini's books.	
Screening	Liquid leaders showing relative strength (RS) . Fundamentals not a hard gate.	
Setup	Pullbacks & "cheat-type" entries into the dominant trend, specifically into the 21-DMA structure (a 3-MA band) — not classic VCP/base breakouts.	
Entry trigger	Must be within 1× ATR above the 21-DMA (no extended buys). Weakness entry — buy directly into 21-DMA support, best R/R, no confirmation. Strength entry — wait for daily reversal, 21-DMA reclaim, or tight-range breakout.	
Position sizing	Risk-tiered: 0.25% per weakness entry, 0.5% per strength entry, up to 1% high-conviction. ~1% max loss/trade.	
Profit-taking	At 2R , sell ½ (banks +0.67R); hold the ½ "runner" until the 21-DMA structure breaks on a daily close.	
Risk mgmt	Tight-risk entries, fast de-risking at R-multiples , small runners on winners.	
Distinctive tool	21-DMA Structure Cycle Counter : counts consecutive periods price holds above the MA structure; resets when the daily <i>high</i> falls below the lowest MA. Z-score on cycle length flags extension — caution at +3σ .	

B) Julian Komar — *the three-lens integrator (price-led)*

Dimension	Detail	Conf.
Philosophy	Position/momentum trading of US growth equities . Asymmetric holding: hold winners weeks–months, cut losers within days . Daily timeframe, no day-trading.	
Method	Integrates fundamentals + technicals + story , but explicitly price-led: " <i>Price is more important than any fundamentals or story</i> "; " <i>Avoid news-driven or story stocks</i> ." Story is a contextual filter, not a co-driver.	
Screening	RS as primary filter (RS > 90, new RS highs); only buy uptrends / new all-time highs ; tools: MarketSmith + FinViz .	

Dimension	Detail	Conf.
Fundamental gate	Mandatory: strong sales growth a must; EPS required for mature companies ; avoid negative EPS .	✓
Setups	Cup-and-handle, double bottom, flat base, VCP, IPO base.	✓
Entry types	Four: pullback , breakout , cheater breakout , gap-up . The only one of the three who keeps the classic O'Neil breakout as a co-equal entry.	✓
Scale-in	Start every position small, buy in multiple steps (~50% / 30% / 20%); pyramids winners.	✓
Risk mgmt	~1% risk per trade ; total portfolio risk capped at 5% ; size = risk% ÷ stop distance ; reduce size before earnings .	✓

C) Matt Caruso — *the institutional-footprint contraction buyer*

Dimension	Detail	Conf.
Philosophy	High-quality growth, O'Neil/CANSLIM lineage; leadership + institutional demand ("real demand, not headlines").	✓
Screening	Fundamentals first (companies growing ~30/40/50%/yr cut universe ~10,000 → ~150), then relative strength (~150 → ~40). Hard earnings gate.	✓
Entry bias	Almost always avoids buying breakouts — prefers low-risk entries based on volatility contraction .	✓
Signature setup	"Coil" / "mini-coil" — an initial bar then ≥2 bars that don't exceed its high/low (tight multi-day contraction); entry on break above the initial bar's high, stop at low of final coiling bar. Framed as low-risk entry into institutional accumulation.	✓
Entry/risk	Per-idea "Pivot Area" (defined buy zone) + "Invalidation Level" (structural stop — "the line in the sand where the thesis breaks"). Risk defined in advance from setup structure.	✓
Lineage tool	CA RS relative-strength tool flags when a security is under institutional accumulation.	✓

2. Side-by-Side

Where they overlap (consensus core)

1. **Leaders only, via RS.** All three screen for relative strength to isolate leadership.
2. **Stage-2 / uptrend gating.** All trade only confirmed advances — none bottom-fish.
3. **Risk-first sizing.** Risk defined *before* entry; size derived from stop distance.
4. **Asymmetry — cut fast, let winners run.**
5. **Volatility-contraction lineage.** Prime's "cheat", Komar's VCP, Caruso's coil all descend from Minervini's VCP.
6. **Buy contraction, not extension (2 of 3).** Prime *and* Caruso explicitly avoid chasing breakouts; both buy low-risk entries into contraction/support.

Where they genuinely contradict

Axis	Prime Trading	Komar	Caruso
Entry bias	Pullback to 21-DMA; no breakouts	Both breakouts & pullbacks (4 types)	Low-risk contraction entry (mini-coil); avoids breakouts
Fundamentals	Not a hard gate (RS/liquidity)	Hard gate	Hard gate (screened first)
Risk per trade	Tiered 0.25 / 0.5 / 1% by conviction	Fixed ~1%, 5% portfolio cap	Per-setup invalidation level
Primary signal	21-DMA structure	Price > fundamentals > story	RS + institutional accumulation
Discretion	Highly mechanical (counter + Z-score + R-rules)	Most discretionary (3 lenses align)	Mechanical entry/stop, discretionary setup read

The real fault line: Komar (*will buy breakouts, broadest, fundamentals-gated*) vs. Prime + Caruso (*both buy contraction/low-risk entries, avoid chasing*). Prime is the lone outlier on fundamentals (RS/liquidity only); the other two gate hard on earnings growth.

3. Synthesized "Best-of" Framework

1. Universe & screen (Komar/Caruso rigor + all-three RS)

- $RS \geq 90$ / RS line at-or-near new highs.
- Minervini trend template (price > 50 > 150 > 200 DMA, 200 rising).
- Fundamental gate: accelerating sales; positive/growing EPS for mature names; relax only for genuine early-stage leaders.

2. Setup (Caruso tightness + Prime structure)

- Prefer names that have formed a **tight coil/VCP** and sit on a **rising 21-DMA structure** — consolidation at support, not extended.

3. Entry — dual-mode by conviction & tape

- **Pullback mode (Prime):** within **1 × ATR of the 21-DMA**; weakness entry into support for best R, or wait for 21-DMA reclaim / tight-range reversal for confirmation.
- **Contraction-break mode (Caruso):** buy the break out of the coil on volume, stop at low of final coil bar.
- **Always scale in (Komar):** small starter, add on confirmation.

4. Risk & sizing (consensus)

- **1% max risk per trade;** size = $(1\% \times \text{equity}) \div \text{stop distance}$.
- **Portfolio heat ≤ 5%** total open risk (Komar's cap).
- Trim/reduce into earnings.

5. Exits (Prime's R-engine)

- Sell **⅓ at 2R** to bank profit and drop net risk ~0.
- Hold the runner to a **21-DMA-structure break on a daily close**.
- Use the **cycle counter + Z-score** as a portfolio-wide extension governor: tighten / avoid new adds when leaders hit $+3\sigma$ on time-above-structure.

Synthesis logic: Komar supplies the *quality filter*; Caruso the *tightest setup geometry*; Prime the *mechanical entry-zone discipline + R-based exit engine*. The 21-DMA structure is the common spine tying entry, runner-management, and extension-risk together.

4. Source Map

System	Primary sources
Prime Trading	traderslab.gitbook.io/primetrading (+ /who-am-i, /21dma-structure-cycle-counter)
Komar	julian-komar.com (/about-me, /growth-traders-toolbox, /curriculum-growth-traders-toolbox, /screen-growth-momentum-stocks-finviz); Chat With Traders ep. 305; X @BlogJulianKomar
Caruso	carusoinsights.com (/ , /course, /Edge-Professional-Research); X @Trader_mcaruso; eLearnMarkets Face2Face interview; CMT Association; Mini-Coil TradingView indicator

My Momentum Framework (v1)

Owner: Lance · **Drafted:** 2026-06-16 **Patterned off:** Prime Trading (TradersLab) · Julian Komar · Matt Caruso **Companion doc:** [momentum-systems-synthesis.md](#) (the source study + citations)

Every decision below is mine; the **Precedent** column shows how the three reference systems handle the same dimension, so each rule is anchored to real practice. ✓ = the precedent is primary-source-verified.

Decision Table

#	Dimension	My rule	Precedent (Prime / Komar / Caruso)
1	Universe	US core as the primary book; selective HK/CN names that clear the same RS + liquidity bar.	Komar: US growth only ✓. Caruso: US-centric ✓. Prime: "liquid leaders showing RS," market-agnostic ✓. → I take Komar's US core + Prime's RS/liquidity-agnostic logic for Asian adds.
2	Fundamentals	Soft preference — a conviction booster / tiebreaker, not a hard exclusion. Strong growth raises conviction; won't reject a name on weak/early earnings if RS + structure are excellent.	Komar + Caruso: hard gate (Caruso screens growth FIRST ~10,000→150, then RS; Komar bars negative EPS) ✓. Prime: no fundamental gate ✓. → I sit between: closer to Prime on gating, but I use fundamentals like Komar/Caruso to size conviction.
3	Screening / leadership bar	RS measured relative to each name's own market (US vs S&P; HK/CN vs HSI/CSI), but a candidate must clear top-decile RS AND the full Minervini trend template (price > 50 > 150 > 200 DMA, 200 rising).	Komar: RS > 90 + new RS high ✓. Minervini: trend template ✓. Caruso: RS strong vs market ✓. → I localize the RS comparison (my cross-market adaptation) but keep the strict top-decile + trend-template gate.
4	Entry bias	Both breakouts and pullbacks , chosen by setup (Komar's 4 types: pullback, breakout, cheater breakout, gap-up).	Komar: all four, co-equal ✓. Prime + Caruso: contraction/pullback only, avoid chasing breakouts ✓. → I'm on Komar's flexible side.
5	Entry execution	Full size at the trigger — no scale-in.	Komar: scale 50/30/20, then pyramid ✓. Prime: de-risk fast, add ✓. → I diverge: single full commit. <i>Implication: trigger precision + the structural stop carry more weight since there's no averaging cushion.</i>
6	Risk per trade	Fixed ~1% of capital. Position size = 1% ÷ stop distance.	Komar: exactly this ✓. Prime: tiered 0.25 / 0.5 / 1% by conviction ✓. Caruso: per-invalidation-level ✓. → I take Komar's flat 1%.
7	Stop / invalidation	Structural — below the setup (below the 25-day EMA structure / coil low / base low). R varies with setup tightness; tighter setups → tighter stops → larger size.	Prime: below 21-DMA structure ✓. Caruso: "invalidation level" / low of final coil bar ✓. → Same structural logic, on the 25-day EMA .
8	Profit-taking / exits	Governing rule: pocket ~67% of open profit by trade maturity. Mechanic: sell ½ at +2 ATR (first de-risk); hold ⅓ runner until the 25-day EMA breaks on a daily close . ~⅓ of the runner is flexible — trimmed discretionarily to manage volatility.	Prime: sell ½ at 2R, hold ⅓ runner to 21-DMA break on daily close ✓. → I keep Prime's trim-and-runner shape but: ATR-based first target (not R), 25-EMA (not 21-DMA), the 67%-banked north star as primary, plus a discretionary volatility trim.
9	Earnings handling	Hold through earnings: at least ⅓, at most ⅔. Carry MORE (toward ⅔) when all four align: large open profit cushion · healthy market regime · high conviction/strong setup · cheap/effective put hedge. Protect the held runner with name puts as an event hedge around the print.	Komar: reduces before earnings (opposite) ✓. Prime/Caruso: silent on options. → My distinct layer: deliberate earnings exposure + targeted put hedge. No reference system hedges with options.
10	Portfolio heat	[TO CALIBRATE] Starting default: 5% total open-risk cap (≈5 full-risk names at 1% each), build up slowly; recalibrate from live experience.	Komar: limit portfolio risk to 5%, "build up slowly" ✓. Minervini: progressive exposure ✓. → Adopted as a provisional default; no live overexposure experienced yet.
11	Timing governor	Market-regime filter — gate new buys on index/breadth health (dashboard's MMTH / NCFD / NHNL + index above key MAs). Press exposure only when the broad tape confirms.	Prime: stock-level extension governor (21-DMA cycle counter + Z-score, caution at +3σ) ✓. → I chose the market-level filter; <i>optional later layer:</i> add Prime's stock-level extension governor on top (top-down + bottom-up).

My Framework in One Paragraph

Trade top-decile RS leaders (RS scored vs each name's own market) that pass the full trend template — US as the core book, selective HK/CN adds on the same bar. Fundamentals raise conviction but don't gate. Take whatever entry the chart offers (pullback, breakout, cheater, gap-up), committing **full size at the trigger** with **1% risk** sized off a **structural stop below the setup**. Manage the winner to **bank ~67% of profit**: trim

1/3 at +2 ATR, run the **2/3 to a 25-EMA break**, with a flexible volatility trim on part of the runner. **Hold 1/3–2/3 through earnings**, sizing the carry up when cushion + regime + conviction + a cheap hedge all line up, and **hedge that runner with name puts**. Only press new exposure when the **market-regime filter** (breadth + index trend) is green.

Where I Diverge From All Three (my edges to validate)

1. **Cross-market localized RS** — none of the three trade a US+Asia book; I localize the RS benchmark per market. *Validate: does a HK/CN local-RS leader perform like a US S&P-RS leader?*
2. **Full size at trigger** — all three scale in. *Validate: does single-shot entry cost me on slightly-early triggers vs. the simplicity gain?*
3. **Hold through earnings + put hedge** — Komar reduces before earnings; the others ignore options. *Validate: does the post-earnings continuation edge net of put cost beat sidestepping the event?*
4. **25-EMA runner vs 21-DMA** — slightly later/smoothier trend-break exit than Prime. *Validate: backtest 25-EMA vs 21-DMA exit on my names.*

Open Items / To Calibrate

- **Portfolio heat cap** (#10): provisional 5%; set from live data.
- **The "flexible 1/3 of runner"** (#8): define the discretionary trim trigger more precisely once there's a track record.
- **Optional:** layer Prime's stock-level extension governor (+3 σ) on top of the market-regime filter.
- **Entry-trigger specs:** document exact breakout vs. pullback trigger rules per Komar's 4 entry types.